RESERVE BANK OF INDIA

Department of Payment and Settlement Systems, Central Office, Mumbai

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Target Entities: All Scheduled Commercial Banks, Payments Banks, UPI System Participants, NPCI

Harmonisation of Turn Around Time (TAT) and Customer Compensation for Failed Transactions using Authorised Payment Systems

1. Background and Objectives

A large number of customer complaints accrue on account of failed transactions. In order to bring uniformity in the Turn Around Time (TAT) for reversal of failed transactions and to enhance customer confidence in electronic payment systems including Unified Payments Interface (UPI), the Reserve Bank of India, in exercise of its powers under Section 10(2) read with Section 18 of the Payment and Settlement Systems Act, 2007 (Act 51 of 2007), has determined the TAT and compensation framework detailed herein.

2. Definition of 'Failed Transaction' and General Principles

A 'failed transaction' is a transaction which has not been fully completed owing to system failures, communication links timeout, or bank host unavailability, but where the customer's account has been debited. All transactions where financial debit has transpired from the customer's account without delivery of funds to the beneficiary or merchant shall qualify as failed transactions.

Clause 2.1: The principle of customer protection dictates that wherever financial reversal is delayed beyond the prescribed TAT, the customer shall be compensated automatically without requiring the customer to lodge a claim or complaint.

3. Turn Around Time (TAT) and Compensation Schedule for UPI

Sl. No.	Transaction Category & Scenario	Turn Around Time (TAT)	Mandatory Compensation for Delay
1	**UPI Person to Person (P2P):** Account debited but beneficiary account not credited due to host timeout or network drop.	Auto-reversal by Remitter Bank within **T + 1 calendar day**.	■**100 per day** of delay beyond T + 1 day payable directly to customer account.
2	**UPI Person to Merchant (P2M):** Account debited but payment confirmation not received at merchant checkout or POS terminal.	Auto-reversal by Remitter / Acquiring Bank within **T + 1 calendar day**.	■**100 per day** of delay beyond T + 1 day payable directly to customer account.
3	**UPI Auto-Pay / Recurring Mandate:** Mandate execution debited without merchant acknowledgement or service delivery.	Auto-reversal within **T + 1 calendar day** from mandate trigger.	■**100 per day** of delay beyond T + 1 day payable directly to customer account.

4	**Beneficiary Bank Processing:** Beneficiary Bank unable to credit customer due to dormant or frozen account.	Return funds to Remitter Bank within **T + 1 calendar day**.	Beneficiary Bank liable to pay compensation if return instruction is delayed beyond T+1.

4. Mandatory Operational Invariants

Clause 4.1 (Proactive Credit): Compensation must be calculated and credited to the customer's account automatically by the responsible bank without insisting on a customer complaint or grievance registration.

Clause 4.2 (Apportionment of Liability): Where delay occurs between remitter, switch (NPCI), and beneficiary, compensation shall be initially settled by the remitter bank to the customer, followed by inter-bank netting and dispute settlement as per NPCI clearing rules.

Clause 4.3 (Reporting & Audit): Banks shall maintain an immutable electronic ledger of all failed UPI transactions, auto-reversals, compensation calculations, and payment timestamps. Quarterly compliance reports must be submitted to the Board and the Reserve Bank.